Before the Public Service Commission

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY and KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID

Rebuttal Testimony

of

Jonathan Cohen

Case 19-G-0309
Case 19-G-0310

September 18, 2019

Case 19-G-0309
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Rebuttal Testimony of Jonathan Cohen

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Rebuttal Testimony of Jonathan Cohen

I. Introduction

Q. Please state your name, address and business affiliation.

A. My name is Jonathan Cohen. My business address is One MetroTech Center, Brooklyn, New York 11201.

Q. Are you the same Jonathan Cohen who previously submitted testimony in these proceedings?

A. Yes. The defined terms in my direct testimony have the same definitions here unless otherwise indicated.

II. Purpose of Testimony

Q. What is the purpose of your rebuttal testimony?

A. The purpose of my rebuttal testimony is to address certain cost of capital and capital structure recommendations made by the Department of Public Service Staff ("Staff") Finance Panel and the Staff Information Technology Panel. Specifically, I will address and rebut (i) the Staff Finance Panel's claim that its proposed capital structure and recommended return on equity ("ROE") will support KEDNY and KEDLI's financial integrity; (ii) the Staff Finance Panel's recommendation that the Commission should use the latest 10-year Treasury yield to determine the cost of KEDNY's proposed Rate Year long-term debt issuance rather than a forecast Treasury rate for March 1, 2021; and (iii) the Staff Information Technology Panel's recommendation that the Commission should use the common equity ratio and cost rates for common equity and long-term debt

recommended by the Staff Finance Panel to determine the revenue requirement for National Grid USA Service Company, Inc.'s ("Service Company") rent expenses.

Q. Do other Companies' witnesses address other aspects of Staff's recommendation concerning the Companies' cost of capital?

A. Yes. Companies Witness Ann Bulkley's rebuttal testimony addresses the Staff Finance Panel's recommendations concerning KEDNY and KEDLI's requested returns on equity. Taken together, my rebuttal and Ms. Bulkley's rebuttal demonstrate that the capital structure and overall rate of return for KEDNY and KEDLI proposed in my corrections and updates testimony should be used for ratemaking purposes in these proceedings.

III. Financial Integrity

Q. The Staff Finance Panel asserts (at 33-34) that its recommended common equity ratio, together with its recommended return on common equity, will support the Companies' financial integrity. Do you have any comments concerning this testimony?

A. I am greatly concerned that the Staff Finance Panel's overall recommendation, coupled with the cost disallowance recommendations of other Staff and Intervenor witnesses in these cases, if adopted by the Commission, could adversely affect the Companies' ability to continue to raise capital on commercially reasonable terms. The Staff Finance Panel recommends that the Companies' ROE should be set at 8.2 percent – a rate that is significantly lower than that approved for any regulated gas distribution company in the United States – during a period in which (i) the Companies are attempting to manage an

inability to add incremental interstate pipeline capacity needed to support customer growth; and (ii) at least one witness to this proceeding has submitted testimony that the Companies should shift their focus from seeking growth "to implementing a process of managed decline" to avoid the accumulation of stranded assets.[1] Although I do not share the opinion of those who believe that the Companies are entering into a period of decline, I do believe that, in the current business environment, it is more important than ever that the Commission establish rates that reflect a cost of capital that is commensurate with the returns authorized for similarly situated businesses across the country as well as an overall revenue requirement that affords the Companies a reasonable opportunity to achieve that return. To obtain this result, the Commission must reject the recommendations of the Staff Finance Panel that the Companies' revenue requirement should be based on an ROE of 8.2 percent.

Q. The Staff Finance Panel (at 34) asserts that its recommended common equity ratio and return on equity recommendation, when combined with other quantitative metrics and quantitative factors, produce credit metrics that are consistent with the Companies' current credit ratings. Do you agree?

A. No. Moody's has indicated that it expects CFO Pre-WC/Debt to trend above the mid-teens for KEDLI and the high teens for KEDNY, and that if the metrics trend at or below the mid-teens, the Companies could be at risk of a further downgrade. Based on these indications, and the credit metric results, it appears that Staff's revenue requirement proposal puts KEDLI at a higher risk of a future downgrade. Furthermore, as discussed

[1] *See* Testimony of Robert Wyman at 5.

further by Ms. Bulkley, the low ROE recommended by Staff may adversely impact the credit rating agencies' view of the supportive nature of New York regulation for KEDNY and KEDLI, a key component in the overall credit rating, further increasing the risk of a downgrade for both KEDNY and KEDLI.

IV. Cost of Debt

Q. Please describe the Staff Finance Panel's recommendations regarding the cost of KEDNY's planned issuance of long-term debt in the Rate Year.

A. The Staff Finance Panel recommends (at 48-49) an interest rate of 3.24 percent for KEDNY's planned issuance of $400 million of new long-term debt in the Rate Year, compared to the 3.83 percent rate that I recommended in my direct testimony. The Staff Finance Panel does not agree with the proposed use of forecast Treasury yields to determine the interest rate of the planned Rate Year debt issuance. The Staff Finance Panel's recommended rate of 3.24 percent for this debt issuance is based on the June 2019 yield for 10-year Treasury debt of 2.07 percent, plus KEDNY's proposed credit spread of 1.17 percent. The Staff Finance Panel recommends updating its proposed approach to determining the cost of debt with more current data prior to the Commission's decision.

Q. Do you agree with the Staff Finance Panel's methodology for determining KEDNY's cost of new long-term debt?

A. No, I do not. I agree that the interest rate for the Company's planned Rate Year debt issuance should be updated prior to the Commission's decision; however, the cost of debt

used for ratemaking for the Rate Year should be the forecast cost of debt reflected in Exhibit __ (JC-1), Schedule 1, Page 2, subject to update. KEDNY's forecast interest rate is more reflective of market expectations for the interest rate likely to be available to KEDNY in the Rate Year than the interest rate in effect at the time of a Commission decision in these cases. Although I recognize that the Commission has used actual interest rates at the time it issues its decision to establish long-term debt interest rates in the past, it is nonetheless the case that the forward-looking rates that I have used in these proceedings are widely used in financial markets and fully consistent with the Commission's policy of using a fully forecast rate year to establish rates. There is a reasonable and verifiable link between current interest rates and those forecast for the Rate Year and there is no reason that the Commission should ignore that link in establishing KEDNY's long-term cost of debt.

V. <u>Service Company Asset Recovery Charge</u>

Q. Do you agree with the Staff Information Technology Panel's rate of return recommendation for Service Company?

A. No, I do not. I disagree with the Staff Information Technology Panel's conclusion that the Companies' weighted average cost of capital is the appropriate rate of return for Service Company. The Staff Information Technology Panel ignores the fact that Service Company maintains a capital structure that is separate and distinct from KEDNY and KEDLI. Moreover, Service Company's cost of long-term debt is lower than Niagara Mohawk Power Corporation's cost of long-term debt. Therefore, the proposed rate of return for Service Company is reasonable and conservative.

Q. Do you agree with the ROE component of the Staff Information Technology Panel's rate of return recommendation for Service Company?

A. No, I do not. I agree that the Companies' authorized ROE should be used for the purpose of determining the cost of equity component Service Company's rate of return. As discussed in Ms. Bulkley's rebuttal testimony, however, 8.20 percent is an unreasonable estimate of the Companies' cost of equity. As such, the Staff Information Technology Panel's proposed pre-tax rate of returns of 7.58 percent for KEDNY and 7.54 percent for KEDLI are unreasonable. Therefore, I continue to support the Company's 6.95 percent weighted average cost of capital for Service Company, subject to updated market data prior to the Commission's decision.

VI. Conclusion

Q. Does this conclude your rebuttal testimony?

A. Yes.